The Spectrum of Standing Orders/Local Rules

Approach	Example	Trend
Outright ban	Judge Boyko, N.D. Ohio (carve-out for Westlaw/Lexis and Internet search engines)	Rare and shrinking; generally adopted in 2023–24 timeframe
Permissive, no disclosure	Illinois Supreme Court (eff. Jan 2025): AI use "should not be discouraged, and is authorized," so long as conducted in compliance with legal and ethical standards	Minority position but influential
Disclosure limited to briefs	N.D. Tex. LR 7.2(f) — first-page disclosure in briefs; omission = negative certification	Early model (Sept 2024)
Disclosure of use in court filings	Judge Padin, D.N.J.	Most common approach
Certification + record-keeping	Judge Martinez-Olguin, N.D. Cal. — lead counsel must certify as to personal verification of filings and retain all prompts/queries submitted to GenAI tools	Most demanding compliance obligations

Trends

- **200+ standing orders/local rules** added in second half of 2025, with pace intensifying in early 2026. All 50 states represented.
- **Bans are fading —** the Ropes & Gray tracker map shows few, if any, outright bans; even Judge Boyko's standing order carves out traditional legal research and Internet search platforms.
- **Disclosure is the floor —** most jurisdictions expects some form of transparency about AI use.
- **Certification is emerging as the next layer —** signed attestation of human verification
- **Professional responsibility rules are doing more of the heavy lifting —** courts increasingly invoke Rules 1.1, 3.3, and 11 rather than creating AI-specific duties.

Contrasting State Approaches

Illinois	Supreme Court (eff. Jan 2025): AI use is “authorized,” disclosure “should not be required,” and accountability flows through existing rules of professional conduct.
New York	Advisory Committee (Dec 2025): Proposed Part 161 model rule opposes blanket bans but requires meaningful disclosure. Recommends against certification requirements, favoring existing 22 NYCRR 130-1.1 framework (NY’s version of federal Rule 11).
California	SB 574 (passed Senate Jan 19, 2026): Requires attorneys to take “reasonable steps” to verify all AI-generated materials, correct hallucinations, and remove biased content. Prohibits entering confidential client information into public AI tools. Bars arbitrators from delegating decisions to AI.

Sources: Illinois Supreme Court policy; AI Annual Report 2025; ABA AI Legislation Tracker 2026

The Scale of the Hallucination Problem

851 documented cases worldwide as of late January 2026

- **716 cases in 2025**
- **130 incidents in December 2025 alone** — more than 4 per day
- **40% involve lawyers** (not just pro se litigants)
- **9 cases involve judges** who used AI in decisions
- **30 countries represented**

Escalating Consequences

Case	Court	Sanction	Significance
Mata v. Avianca (2023)	S.D.N.Y.	$5,000 fine	The original; established the paradigm
Noland v. Land of the Free (Sept 2025)	Cal. App.	$10,000 + State Bar referral	Nearly all citations and quotations fabricated.
Nuvola (Nov 2025)	MN District	$1,000 + OLPR referral + 5 CLE presentations	Ordering attorney “to spend time educating other lawyers and law students how to avoid the error he made”
Deutsche Bank v. LeTennier (Jan 2026)	NY App. Div. 3d	$5,000 against attorney	First NY appellate sanction
LaBatt USA v. Friends Bev. (Dec 2025)	NY Comm Div	Opposition to SJ struck; Dispositive motion treated as unopposed	Court awarded $1.1M on SJ after striking opposition for two separate incidents of AI misuse
Flycatcher/Feldman (Feb 2026)	S.D.N.Y.	Default judgment	Terminal sanction for fake cites across three filings, including responses to Order to Show Cause for sanctions
Kjoller v. Superior Ct. (2026)	Cal. Supreme Ct.	OSC + referee investigation	DA blamed “scrivener’s errors”; Supreme Court ordered inquiry

The Cover-Up Is Worse Than the Crime

- **Cassata** (NY Sup. Ct., 2026): Attorney denied using AI. Court found it "more likely than not" based on circumstantial evidence, including firm's recent acquisition of AI-enhanced Westlaw and the supervising attorney's admission that he didn't know "how to use any AI stuff."

- **Kjoller** (Cal. Supreme Court, 2026): After fabricated citations were discovered, the DA characterized wholesale fabrication as "scrivener's errors." The Supreme Court unanimously directed a formal sanctions inquiry. Note: this was a criminal case — a person's liberty was at stake.

- **Byoplanet Int'l** (S.D. Fla. 2025): Attorney blamed a paralegal for the errors and cited time constraints, despite having two weeks to review the documents.

- **Flycatcher** (S.D.N.Y. 2026): Court issued Order to Show Cause after finding fake citations in attorney's brief. Attorney "tripled down" with opening and reply briefs that included fake citations.

Acknowledge and correct = manageable consequences.
Deflect, deny, or minimize = investigations, public embarrassment, escalating sanctions.

Beyond Fake Citations/Quotes: Subtler Forms of Hallucination

1. Blurring / Cross-Jurisdictional Contamination

Westlaw applies a filter — it cannot return a California case when you search a New York database. An LLM was trained on the whole library – cases from every State and country -- blended into statistical patterns with no jurisdictional labels. When you say "only consider New York law," you're asking the model to try not to use part of what it learned.

2. Disregarding Specified Sources

From an LLM's actual thinking trace: "I cannot access the up0loaded file. I'll assume it contains the typical elements." What you receive: a confident, well-written analysis of a non-existent document.

Why these are arguably worse than fake citations

Fake citations are straightforward to detect; you can look them up.
Blurring and disregard errors look right and require legal judgment to detect.